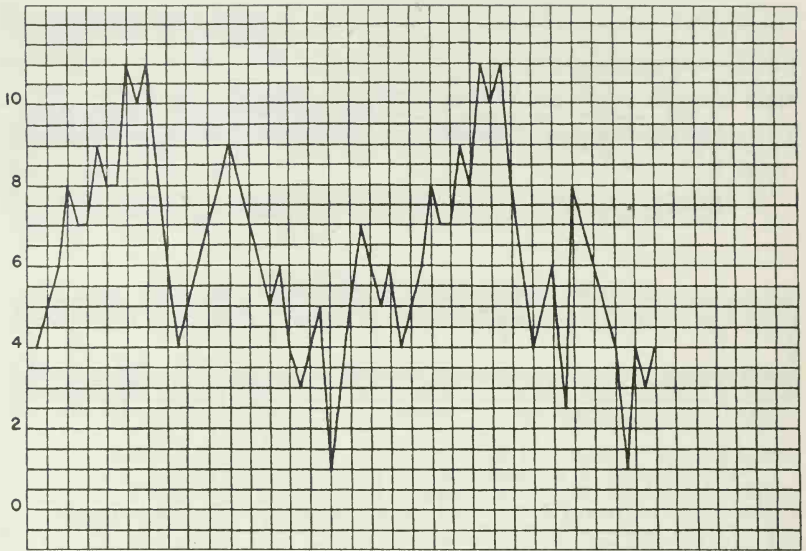




7, 8 and 10 now represent the pattern of rising bottoms the *support* level is at 10 and the *resistance* level is at 11.

The next figure is another 11. This is the resistance level to further advance. *This level fails to be bettered* and the next figure turns out to be an 8. This constitutes a *downside signal*, the first one seen in the chart. *The figure 8 penetrates the support at 10*. This is a technical prediction for lower levels to be reached and the chart immediately obliges. Following the drop to 8, lower levels of 6 and 4 are immediately recorded. The pattern stops declining at 4 because thus far in the chart that level is considered to be the basic *first support* (the lowest figure recorded in the pattern thus far).

Here the chart takes a *phenomenal* twist, considered phenomenal because it is so *utterly logical* from a technical standpoint. In view of the fact that *downside gaps* were created when the decline took place from 11 (11, 8, 6, 4), *these gaps are now filled by a straightline advance from 4 to 9*. In view of the technical fact that the previous supports of 7 and 9 on the way down became resistance levels on the way up, the rise from 4 to 9 cut through the first resistance level at 7 and provided a technical signal of further rise. The previous figure